

Kestrel Aerospace Components Project Status Report: Titanium Machining Line Project, March 2026

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Executive Summary

This project status report summarises progress on the Titanium Machining Line Project at Kestrel Aerospace Components as at 27 March 2026. It is the ninth monthly status report for the project and is issued to the Capital Projects Steering Committee.

The project is behind schedule because the second machining centre has not been delivered, and fixture deliveries are also late. Building works and systems integration have gone well. The project office regards securing the second machining centre as the top priority action for the coming month. The forecast cost at completion now exceeds the approved budget, mainly because of extended site supervision and the need to second-source fixtures.

Four findings and three recommendations are presented. The overall project status is rated amber for schedule and amber for cost.

Background

The Titanium Machining Line Project is a capital program to install two five-axis machining centres, a coordinate measuring machine and associated fixtures to produce titanium landing gear components. The line is being installed at the Falcon Ridge Plant, the company's largest machining facility, in a bay vacated by the retirement of older equipment.

Workholding fixtures for the line are supplied by Precision Tooling Partners, a specialist vendor selected through competitive tender in 2025. Once in production the line will be scheduled by the Production Scheduling System, the plant-wide system that sequences work orders and tracks machine utilisation.

The baseline schedule approved in February 2025 set first article production for 15 May 2026. The machine supplier notified the project in January 2026 that the second machining centre would be delayed by a spindle supply problem at its factory.

Findings

Finding 1: The Titanium Machining Line Project is eleven weeks behind the baseline schedule because of late delivery of the second five-axis machining centre. Severity: High. The supplier's latest committed delivery date is 3 July 2026 against a contract date of 17 April 2026. First article production cannot begin until both machines are commissioned because the process routes parts between them.

Finding 2: Precision Tooling Partners has delivered only 60 percent of the fixtures required for first article production. Severity: Medium. The vendor has cited difficulty sourcing a heat-treated alloy for the fixture bases. The delivered fixtures have passed inspection. The remaining fixtures are on the critical path once the second machine arrives.

Finding 3: Integration of the new line with the Production Scheduling System passed factory acceptance testing on 12 March 2026. Severity: Low. The interface transfers work orders to the machine controllers and returns cycle times and status. No defects remain open from the acceptance test.

Finding 4: Foundation and utility work at the Falcon Ridge Plant was completed under budget and ahead of schedule. Severity: Low. The civil contractor completed the machine foundations, coolant reticulation and electrical supply three weeks early and \$140,000 under the civil budget.

Recommendations

Recommendation 1: Negotiate an expedited delivery date for the second machining centre and apply the contractual delay damages. Priority: Medium. The delivery date depends on the supplier's spindle source and the project has limited leverage beyond the damages clause, so the project office rates this as medium priority despite its schedule importance.

Recommendation 2: Place a second-source order for the outstanding fixtures with an alternative vendor. Priority: High. Two alternative vendors have quoted delivery within eight weeks, which would remove the fixtures from the critical path.

Recommendation 3: Re-forecast the first article date in the Production Scheduling System once the machine delivery date is confirmed. Priority: Low. The current system date of 15 May 2026 is no longer achievable and is misleading the plant's capacity planning.

Financial Impact

The approved project budget is \$14.6 million, authorised by the Board in February 2025. Spending to 27 March 2026 was \$9.8 million, of which \$7.1 million relates to the first machining centre and the building works.

The forecast cost at completion is \$15.2 million, reflecting extended site supervision and the cost of a second-source fixture order. The steering committee will be asked to approve a budget increase at its April meeting.

Recoverable delay damages under the machine supply contract are calculated at USD 210,000 for the eleven-week delay. The damages are capped at 5 percent of the machine price and will be offset against the final payment.

Appendix

Appendix A: Milestone status. Building works complete on 20 January 2026. First machining centre commissioned on 5 March 2026. Systems integration accepted on 12 March 2026. Second machining centre delivery forecast for 3 July 2026. First article production forecast for 28 August 2026.

Appendix B: Risk register summary. The top risks are a further slip in the machine delivery date, a failure of the second-source fixture vendor to deliver and the loss of a key programming engineer to a competitor. Each risk has a named owner and a mitigation plan.

Appendix C: Distribution. This report is distributed to the Capital Projects Steering Committee, the Vice President of Operations and the Falcon Ridge Plant Manager.